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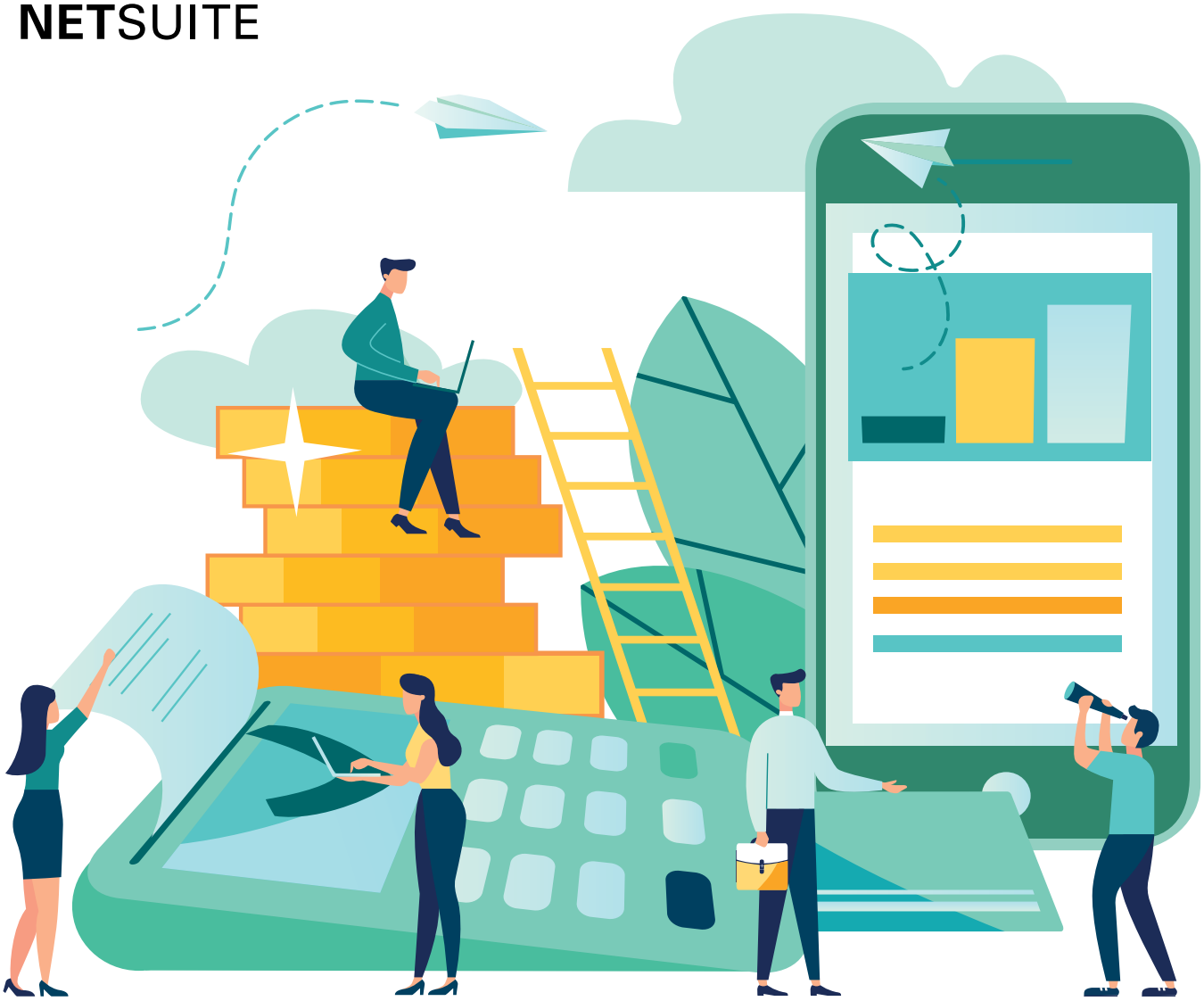

Seed to Series C:

The Essential Guide to Business Funding

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Introduction

We are in an age of superabundant capital. With sky-high valuations and ever-increasing fund sizes, it's obvious that venture capital (VC) investors are aggressively competing to back the next big thing.

Taking the amount of funding raised by VC firms and the number of investments made in 2018 as indicators, the European VC landscape has not been in such good health since the 2007 financial crisis. By October, investors had poured an eye-watering €14.8bn into European-focused funds and deployed capital across 2,643 investments. For context, between 2008-2015, European-focused fundraising failed to attract over €10bn in any given year. Should trends continue through to the final quarter, it's predicted 2018 will be a record-breaking year for European venture capital.

Europe has always been a preeminent destination for VC funding; with a deep pool of immensely talented entrepreneurs, globally connected cities with strong infrastructure, and unfettered access to the largest single market in the world, that's no surprise. Globally, some of the most successful VC-backed companies were born out of European capitals – anyone still addicted to Angry Birds (King Digital Entertainment), rented someone else's apartment (Airbnb) or enjoyed streaming music for free (Spotify) has benefitted from their talent and their ability to access private capital as they grow their business.

Thousands of VC-backed companies run their businesses on NetSuite. NetSuite's Venture Capital Practice work with VCs at the forefront, and the early-stage companies they have backed. NetSuite's 100% cloud platform allows a VC's portfolio companies to leapfrog spreadsheets and entry level products to build and professionalise on the most deployed business productivity software globally (e.g. Finance, ERP, Supply Chain, Professional Services Automation, CRM, eCommerce etc.), offering the benefit of full visibility across an organisation for both the VC and the VC-backed company, as well as a highly scalable solution for the inevitable accelerated growth strategy. Here, NetSuite's Venture Capital team will share some of the top tips on fundraising at various stages, helping you to prepare your business.

Seed Stage

The vision and more importantly, the team

The overarching purpose of Seed funding is to help work out your product and audience. Typically, Seed funding will allow entrepreneurs to build/launch an early iteration of their product and test out their assumptions, the market and user base. It should also allow you to expand the team beyond the initial founding members. When pitching, the focus is undoubtedly on the product idea, vision for the company and perhaps most importantly, the enthusiasm, drive, expertise and talent behind it. When you're investing this early you are backing people.

With every pound of funding raised being put towards developing the product, market and management team, it's easy to overlook an investment in back-office technology.

To establish a strong foundation for growth, however, it's crucial to acquire a financial platform that can provide a singular view of the business and help keep a tight rein on finances.

TOP TIP 1

Don't go to your preferred VC first

Why? It may take a while to hone and perfect your pitch and you don't want to be warming up in front of your preferred investor. Test your pitch on others and if it's not hitting the right tone, change it. Often the best founders – or those perceived to be the best by VCs, are those who can articulate their message and vision the clearest.

TOP TIP 2

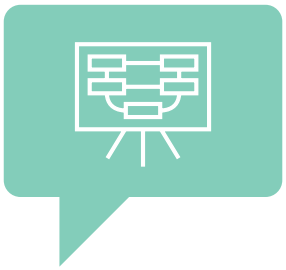
Seek a trusted recommendation and avoid a broker

Nothing quite beats a warm introduction.. It's well worth spending time on LinkedIn or other networks to figure out who you know who can make an intro. It could be a fellow entrepreneur, someone who has worked for the firm, or a well-known industry advisor. On the flip side, avoid a broker, especially during early-stage fundraising. VC firms generally prefer not working with brokers because they can complicate the deal and may end up telling a story that doesn't quite reflect the unvarnished truth.

Harry Keen, CEO & founder, Hazy

As a startup it can be daunting when trying to raise initial funding, but you have more power in the negotiations than you otherwise might think. There will always be a strong temptation to accept the first offer that you receive from an investor, however it's important to hold out for an agreement with a group of investors that not only understand the business - but who can provide the right support and guidance too. At Hazy, we're fortunate to have investors with a broad diversity of intentions, allowing us to seek advice on strategic, financial, and product-based decisions.

Series A & B



Monetised business model and scale

With the core product offering and market figured out, you're likely acquiring new customers, but your business model may not be clear or monetisable at scale. Series A funding looks to help work this out – this also includes optimising the product and user base, so a business is ready to successfully enter new markets and transact with customers.

Caroline Plumb, founder and CEO, Fluidly

We were really fortunate that our fundraising happened quite painlessly - we'd just started to have conversations about Series A when an existing small investor leant in and offered to lead the round. Series A has been more metrics driven than seed and we had to demonstrate how we are helping customers in a quantifiable way - it's really useful if you've tracked KPIs over time so that you can show where your growth has been. As well as the numbers, it's helpful to have a clear vision. We are defining a new category of Intelligent Cashflow and so we've continued to focus on how we show the big picture to customers and investors alike.

Monetised business model and scale

Hugo Grimston, CFO of Paddle

Our $3m Series A in 2016 involved speaking to tens of funds and was a lengthy process, taking 5 months from initial meetings to term sheet. For our $12.5m Series B in 2017, led by Notion, we were helped by continued momentum (growth of >200% y-o-y) but also the fact that there are fewer funds chasing larger deals and we had more visibility in the market. It was a more streamlined process, taking around 2 months. Expect more detailed due diligence from investors at Series B, including customer calls and meetings with the senior leadership team (not just founders).

GROWTH

>200%

Companies in this stage need to understand their customer base, and effectively track the revenues coming in from their sales. NetSuite provides comprehensive financial management, client relationship management and modern reporting (end-to-end visibility of the business) and compliance, giving companies a 360-degree view of their customers, KPI's and metrics.

TOP TIP 3

Talent, talent, talent

In 2018 the key bottleneck for early-stage businesses was not financial capital but rather attracting, retaining and motivating key talent in a super-competitive market.

Fundraising is never easy, it's painful, and there will be many false dawns. However, when you're off the ground, you will likely spend more time hiring the right people to take the business to the next level, then fundraising.

Early-stage companies have two key differentiators vs. the big beasts:

1. A strong culture; an ever-increasing percentage of the talent pool (especially Millennials) are mission-driven, they want to make a difference, and can achieve that with early-stage companies;

2. Financial upside; talented, savvy employees will be aware they can achieve greater compensation working for a more mature business, however, in a growth company there is strong financial upside, typically in the form of stock options. This is what Dominic Jacquesson, head of talent at Index Ventures, calls the 'sizzle factor'. His book, 'Rewarding Talent: A Guide to Stock Options for European Entrepreneurs', is a must-read.

Series C onwards: supercharging growth

Business with established products and services take their business to the next level by broadening their market reach. While you know where your profits are coming from, this may be traded off against rapid customer growth. Key drivers for growth are achieved through honing and perfecting your customer experience, expanding internationally, acquiring other companies, and rapidly expanding sales/marketing functions and hiring key executive talent.

At this stage, operational complexity increases as a business transacts in new currencies and languages, or deals with new reporting and compliance regulations after acquiring a competitor.

To help, NetSuite enables the management of multiple subsidiaries, business units and legal entities, and supports consistent processes across countries for real-time global insight and consolidation. Ecommerce enables businesses to seamlessly connect every step of a multi-channel, multi-location business - from ecommerce, POS and order management, to merchandising, marketing, inventory, financials and customer service.

TOP TIP 4

Internationalisation is not always the correct course of action

Choosing the right countries at the right time requires careful planning, and overseas growth is never a cure-all for domestic ills. A surprisingly common solution to growth pains is for founders to say, "I think we should probably internationalise". In reality, it just means your product isn't quite working, and it probably won't work where you are going, without change. Typically, for companies who reach the $10m revenue mark, internationalisation is however, usually the next step. If this is the route your business is taking, it's worth noting that the US features highly as a preferred destination if you're driven to be a global leader, as global status is difficult to achieve without making it to the States early on.

TOP TIP 5

Be picky and demanding

VC firms are having to compete aggressively to 'win' their investments. In an environment of superabundant capital, they should be adding more value to your business than just providing cash. For example, most early-stage investments should buy the founder extra runway – 18 months to work things out, alongside your investors, learning together what the key challenges and priorities are and setting clear milestones. They should help you recruit top talent given their expanded networks, deliver expert networking and peer learning opportunities (from those people who have done it before), help prepare for the next funding round, and leverage a network of vendors, advisors and contacts who are trusted and can help get things done (like NetSuite's VC Practice). Most importantly, they should be offering a different perspective, as some distance from daily operations can be a virtue.

TOP TIP 6

Don't give up

Last but not least, keep going - investors get it wrong sometimes as well. Bessemer Venture Partners, one of the most successful VC's in the world, recently published their 'Anti-portfolio', a collation of those companies they passed up on. On eBay, "Stamps? Coins? Comic books? You've GOT to be kidding".

Conclusion

This guide has established that now is a better time than ever for emerging businesses to apply for the funding they need to accelerate their growth. The last few years have been record-breaking in terms of the amount of money invested in European businesses. That doesn't mean gaining investment is easy – VC's know what they're looking for, and they're aware of the signs of a good deal.

Collating all the information here in this guide, the overarching advice is preparation. A business must do its own research into the VC's they are hoping to impress, but above all, they must know their business inside and out, from the product itself to growth strategy to financials – it's absolutely crucial that knowledge, commitment and passion is projected in a pitch for investment.

About Oracle NetSuite

NetSuite provides a single platform with tailored solutions to support your business at every stage of the investment lifecycle. As you look to take your growing business further, being able to quickly and effectively demonstrate the financial health of your organisation ensures that your organisation is positioned for future success—whatever stage of funding your business is at.

With NetSuite, venture capital-backed companies not only get a business system they will never outgrow, but also a lifelong business partner committed to their success. NetSuite's dedicated Venture Capital Practice understands that sponsor-backed companies have a unique DNA in terms of growth and investment thesis and recognise that they operate under accelerated timelines and aggressive budgets. To support this, the Venture Capital team provides an additional layer of executive alignment throughout evaluation, implementation and beyond.

For more information and to get in touch with NetSuite's VC Practice, visit

netsuite.co.uk/investment-backed

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